1 Copyright & Licensing Guide for AI-Generated Content and Code

1.1 CSE Capstone Project 55

Project question: What can students safely do with AI-generated text, images, and code under copyright law, open licences, and AI-tool terms?
Audience: CSE students, designers, and open-source beginners
Research snapshot: 3 November 2026
Prepared for: _____
Institution / course: _____

> **Authorship and use note.** This is an AI-assisted project draft built from the sources listed at the end. It is not a claim that a student wrote every sentence unaided. Before submission, verify the current rules, add your own examples and class-specific requirements, and disclose AI assistance in the form your instructor requires. Do not submit this unchanged as solely human-authored work.

> **Important:** This is an educational guide, not legal advice. Copyright rules differ by country, contracts change, and facts matter. For a real commercial release, ask a qualified lawyer or your institution's IP office.

1.2 1. The short answer

An AI service's terms may say that it does not claim your output, or may assign rights it has in that output to you. That is a contract statement between you and the provider. It does **not** by itself prove that the output is copyrightable, original, free of third-party material, or safe to publish commercially. Check the law where you live, the specific tool and plan terms, and the rights in every source or dependency you used.

For students, the most dependable method is to treat AI as an assistant, not a clearance system: keep a record of prompts and sources, contribute meaningful human editing, check suspiciously familiar wording or code, obey the licences of included material, and review the terms of the exact service before sharing or selling the result.

1.3 2. The five checks before using an AI output

1. **Who contributed expressive choices?** Record what you wrote, drew, selected, edited, arranged, tested, or rejected. A prompt log is evidence of process, not proof that every generated element is protected.
2. **What went into the prompt?** Do not upload another person's paid, confidential, personal, or unpublished material unless you have permission and the service is approved for it.
3. **What do the current tool terms say?** Read the terms for the exact product, account type, and plan. A free consumer account can have different data-use, privacy, or warranty terms from a business plan.
4. **Could the output reproduce someone else's work?** Search distinctive phrases, inspect code for copied comments or unusual structure, compare against known sources, and run tests. Similarity is possible even when the model created the answer independently.

5. **What licence travels with the project?** For code, inspect every dependency and preserve required notices. For images and text, check source licences, attribution, non-commercial restrictions, and privacy or publicity rights.

1.4 3. Copyright and licence basics

Copyright is a set of legal rights in qualifying creative expression. It does not generally give ownership over a bare idea, fact, method, or programming function. The precise subject matter and exceptions vary by jurisdiction.

A **licence** is permission to do specified things with material. It is not the same as ownership. A licence may require attribution, source-code disclosure for covered software, or limits on commercial use. If no licence is supplied, do not assume that a public web page or repository is free to copy.

Public domain material is not protected by copyright or has been dedicated to the public domain, but that label does not clear trademarks, privacy, publicity, patents, or every jurisdiction's rules.

Open source describes software distributed under a licence that meets the Open Source Definition. "Visible on GitHub" is not itself an open-source licence. SPDX identifiers such as `MIT` and `GPL-3.0-only` are compact labels; check the licence text and any package-specific exceptions. 7 8

1.4.1 MIT and GPL-3.0 in one minute

The **MIT License** is permissive: it allows broad reuse, modification, distribution, sublicensing, and sale, provided the copyright and permission notice are included in copies or substantial portions. It also disclaims warranty. 7

The **GNU GPL version 3** is a copyleft licence. When you convey a covered modified work, the licence imposes conditions that include keeping notices, marking changes, licensing the covered work under GPL-3.0, and providing or offering corresponding source as required by the licence. Whether two components form one covered work or a mere aggregate depends on facts; do not decide compatibility from a slogan. 8

For a website image, poster, or written article, a Creative Commons licence may be relevant. For software code, use and follow the software's actual licence rather than assuming a Creative Commons licence is a substitute. CC BY requires attribution; CC BY-SA adds share-alike; CC BY-NC restricts uses that are primarily intended for or directed toward commercial advantage or monetary compensation. Read the exact licence and jurisdiction-specific interpretation. 6

1.5 4. Legal snapshot: three jurisdictions, three cautions

1.5.1 United States

The U.S. Copyright Office's 2025 report says copyright protects human-authored expression even when a work includes AI material. Purely AI-generated material, or material without enough human control over expressive elements, is not protected under the Office's analysis. It says prompts alone, given generally available technology at the time of the report, do not provide sufficient control; human selection, arrangement, or creative modification may be protected case by case. This is the Office's published analysis, not a guarantee about every court or future system. 1

The Office's AI page also links a separate Part 3 report on AI training, published as a pre-publication version in May 2025. Questions about training data, fair use, and other exceptions remain fact-sensitive

and contested. Do not turn the training debate into a blanket rule that every training use is lawful or unlawful. 2

1.5.2 India

India's Copyright Act, 1957 defines the author of a computer-generated literary, dramatic, musical, or artistic work as "the person who causes the work to be created" in section 2(d)(vi). Section 17 sets out first ownership, subject to exceptions and agreements. These provisions pre-date current generative AI systems. Their application to a particular prompt-and-model workflow is not settled by the statutory wording alone; do not treat the clause as a universal answer to modern AI authorship. 3

1.5.3 European Union

The EU AI Act has provider-facing obligations for general-purpose AI models, including a policy to comply with EU copyright law and a public summary of training content. The Commission reports that GPAI obligations became applicable on 2 August 2025. These model-provider duties are not an automatic copyright licence for a user's output and do not answer who owns that output. The Act's timeline has also been amended; check the Commission's current page before relying on any future date. 4

1.6 5. Five free/basic AI tools: terms are not a copyright certificate

This comparison is a snapshot of official sources checked on 3 November 2026. Free access, limits, and product terms may change by country, account, and plan. "Provider does not claim/assigns rights" describes the provider's contractual position; it does not promise copyright protection or clearance from third-party rights.

Tool and free/basic access	What the cited terms say	Safe answer for a student
ChatGPT Free — free plan with usage limits. 9 10	OpenAI's 1 January 2026 individual terms say that, as between the user and OpenAI and to the extent allowed by law, the user owns Output and OpenAI assigns any rights it has. Outputs may not be unique. Users must evaluate accuracy, and the terms prohibit representing AI output as human-generated. 9	You may use output subject to the terms and local law, but do not claim it is guaranteed exclusive or copyrightable. Disclose AI assistance honestly and verify before publishing.
Gemini Apps — app access and available features vary by location and account. 11 12	Google's current general Terms say it will not claim ownership over original content generated by some services. They also prohibit using service-generated AI content to develop machine-learning models or related	Do not cite the archived 2023 additional terms as current consumer terms. Check current Google Terms and any Gemini-specific notices. Google's no-ownership statement is not third-party clearance.

Tool and free/basic access	What the cited terms say	Safe answer for a student
	AI technology. The old standalone Generative AI Additional Terms say they stopped applying to ordinary use after Google's May 2024 Terms update. 11	
Claude Free — official pricing page lists a free tier with limited usage. 13 14	Anthropic's consumer terms assign to the user any Anthropic rights, if any, in Output, subject to compliance and applicable law. The user remains responsible for Inputs and should independently confirm Outputs. 13	The assignment is not a promise that a generated passage is unique or protected. Do not upload inputs you lack permission to share. Check whether an evaluation feature or separate service carries extra non-commercial terms.
Perplexity Standard — free plan includes basic searches with feature limits. 15 16	Perplexity says it does not claim ownership in "Your Content," but takes a broad licence to use that content to operate, improve, promote, and provide services. It warns that output can be incorrect, may infringe third-party rights, and may be the same or similar to another user's output. 15	Treat answer citations as leads, not proof. Open every source and check whether the quoted or summarized material can be reused. Avoid pasting confidential material.
GitHub Copilot Free — individual free plan with limited features. 17 18	GitHub's personal-user Terms say GitHub does not claim ownership of Input or Output. They expressly warn that output may resemble training-set code or be subject to third-party copyright or open-source terms. Users must review, test, validate, and handle required licences. The individual terms describe input/output use for model improvement unless the user opts out in settings. 17	Never assume generated code is licence-free. Inspect distinctive snippets, test them, scan dependencies, preserve notices, and check the current data-use setting. Enterprise terms differ.

Commercial-use answer: none of these rows should be read as a blanket "safe for any commercial use" conclusion. Before commercial release, check the current exact tool terms and plan, relevant IP rights, local law, and any third-party code or asset licences. If the terms are unclear or the work is high-stakes, get qualified advice.

1.7 6. Safe-use and attribution checklist

Before you start, identify the project owner, intended audience, jurisdiction, and whether it will be sold, published, or used only in class. Check course rules before using AI. Do not enter private keys, passwords, unpublished source code, personal data, or third-party confidential material into a consumer service without permission and an approved data-handling basis.

During work, keep a dated prompt log. Save source URLs and the licence version/date. Mark which lines, images, or code came from a tool or external source. For AI-generated code, search distinctive snippets, inspect repository history or source pages when matches appear, run tests and security checks, and document dependency licences. For images and writing, review for recognizable characters, brands, living artists' names, copied passages, and personal likenesses.

Before release, compare the result with the tool's current terms. Confirm that each open-source dependency's licence is compatible with the distribution plan. Include attribution and licence notices where required. Label human and AI contributions accurately. Keep evidence of human editing and decision-making, but do not claim that the log itself guarantees copyright. If an output looks suspiciously close to a source, replace it or seek permission rather than relying on a detector score.

1.7.1 Suggested attribution record

> **AI assistance:** [tool and model, if known] was used for [specific tasks] on [date]. The student selected sources, checked cited claims, edited the text/code, and reviewed the final version. External assets and dependencies are listed with their licences in [location]. This note describes process; it is not a legal conclusion about copyright ownership.

1.8 7. Six scenario cards

Card 1 — A one-line prompt creates a poster. A student types "make a futuristic campus poster" and publishes the result as a portfolio piece. **Safe answer:** the prompt alone may not establish human authorship in some jurisdictions. Keep the original prompt, but also document genuine human choices, edits, layout, and added expression. Check the tool terms and any resemblance to protected characters, brands, or existing art. 1

Card 2 — Copilot suggests a distinctive block of code. The suggestion includes unusual comments and structure that look familiar. **Safe answer:** do not ship it just because the tool produced it. Search the distinctive text, inspect any match and its licence, rewrite or remove uncertain material, then run tests and security checks. GitHub's personal terms put review and licence responsibility on the user. 17

Card 3 — An MIT package is copied into a project. Safe answer: keep the package's copyright and permission notice, record its version and source, and check whether the package has additional files or dependencies with different terms. "MIT" is permissive, not "no attribution needed." 7

Card 4 — A GPL-3.0 library is bundled into a distributed application. Safe answer: stop and review how the components are combined and conveyed. GPL-3.0 has source, notice, and licensing conditions for

covered works; aggregation and compatibility are fact-specific. Ask the course supervisor or counsel if the release plan depends on a particular interpretation. 8

Card 5 — A CC BY-NC image is used in a monetized video. Safe answer: NC is not a simple "credit is enough" rule. A monetized use can raise a problem because the licence restricts uses directed toward commercial advantage or monetary compensation. Find an asset with clear commercial permission or ask the rights holder. 6

Card 6 — A student uploads an unreleased teammate's code for debugging. Safe answer: do not upload it to a personal/free AI account without permission and a policy check. The uploader must have rights to provide the input, and service settings may allow retention or improvement use. Redact, use a locally approved tool, or ask the teammate first. 9 13 17

1.9 8. Ten-question quiz

1. If an AI provider says "we do not claim ownership," does that prove the output is copyrightable?
2. Under the 2025 U.S. Copyright Office Part 2 report, are prompts alone generally enough to make the user the author of the expressive output?
3. What is the key notice requirement in the MIT License?
4. What kind of additional condition is associated with GPL-3.0 when conveying a covered modified work?
5. Is a public code repository automatically open source?
6. What should you do when an AI code suggestion appears to match a distinctive existing snippet?
7. Does EU AI Act transparency or training-summary compliance give an individual user a licence to copy protected works?
8. Why is the phrase "CC BY-NC, credit given" not enough to clear a monetized video?
9. What should a student do before pasting unpublished teammate code into a consumer AI service?
10. Name two facts to record in a prompt and provenance log.

1.9.1 Answer key

1. No. Provider contract language and copyrightability are separate questions.
2. The Office says prompts alone, given generally available technology at the time of its report, do not provide sufficient control; human contributions are assessed case by case. 1
3. Retain the copyright notice and permission notice in copies or substantial portions. 7
4. Conditions can include marking changes, retaining notices, licensing a covered modified work under GPL-3.0, and providing or offering corresponding source as required by the licence. 8
5. No. Reuse permissions depend on the licence or permission actually granted.
6. Search the exact distinctive text, inspect the source and its licence, then remove, rewrite, or obtain permission if uncertain; also test and review the code.
7. No. Provider-facing AI Act obligations do not create a user licence to third-party works. 4
8. NC limits certain commercial uses; attribution alone does not satisfy or remove that condition. 6
9. Obtain permission and check school/service policy; remove secrets and personal data; use only an approved service.
10. Any two: tool/model and date, exact prompt, source URL, licence/version, human edits, output segment used, reviewer and test result.

1.10 9. Prompt library and transparent prompt log

Use prompts that ask the AI to help with bounded tasks, then verify the result independently. Do not ask a model to decide whether your use is legally safe.

- **Research plan:** "Create a research plan for [question]. Separate established rules from unsettled issues. Give me official sources to open, not just conclusions. Do not invent citations."
- **Plain-language summary:** "Summarize this official source for CSE students in 120 words. Quote no more than 10 words. List the exact passages or section headings supporting each claim."
- **License review:** "Explain what this licence requires when a student modifies and distributes this code. Quote relevant clauses and identify uncertainties. Do not decide compatibility without project facts."
- **Code review:** "Review this AI-assisted snippet for unusual copied-looking text, security defects, and missing tests. Do not claim it is original or licence-free. Explain how I can verify."
- **Image risk review:** "List visible brands, characters, likenesses, and potentially distinctive elements in this draft. This is a screening aid, not a clearance opinion."
- **Attribution draft:** "Draft a factual AI-use note from this process log. Do not imply that AI did not contribute or that a detector was passed."
- **Quiz generation:** "Create ten scenario-based questions from only the sources I supplied. Add an answer key with source references and mark any question not supported by the sources."
- **Skeptical checker:** "Try to falsify these claims. For every claim, identify the strongest official source, its date, scope, and what it does not prove."

Prompt log template: Date | tool / model | task | prompt or prompt file | output retained | human changes | source checks | licence / disclosure action. Save enough detail to explain the workflow without publishing private prompts or confidential data.

1.11 10. Small automation demo: flag dependency licences on pull requests

The included demo scans an npm licence report and stops a pull request when a package has an unknown or non-allowlisted licence. It is a **triage gate**, not a legal opinion: expressions, dual licences, custom terms, and exception clauses need human review. The sample allowlist is intentionally conservative and should be approved by the project maintainer. GitHub's own documentation describes license compliance policies as a way to define which dependency licences are allowed. 19

Run `npx license-checker --production --json > licenses.json`, then run the included Python checker against `licenses.json`. The workflow file in `.github/workflows/license-audit.yml` runs the check when dependency manifests change. The demo fixture flags GPL-3.0-only and `UNKNOWN` for review, while passing a fixture containing only an allowlisted MIT package.

1.12 11. Verification report and before/after analysis

Verification date: 3 November 2026. This is a source-check record for the project, not an independent legal opinion.

Draft claim or source risk	Check performed	Corrected, safer version
“The 2023 Google Generative AI Additional Terms are the current terms for Gemini.”	Opened the official page. Google says its general Terms were updated on 22 May 2024 and the standalone terms no longer apply to ordinary use unless a signed business agreement references them. 11	Cite the current Google Terms for consumer services and check any Gemini-specific notices; label the 2023 page archived/limited.
“GitHub Copilot Business product-specific terms apply to every Copilot user.”	Read the archived terms page and the current personal-user Terms. The archived document says it was deprecated for new subscriptions/renewals from 5 March 2026; personal customers are governed by GitHub’s standard Terms and AI Features section. 17 20	State which user group and date the cited terms cover. For an individual free account, use the personal AI Features terms; for business, check the actual contract.
“If a tool assigns me output, I can claim copyright and sell it without further checks.”	Compared provider contracts with the Copyright Office report, CC guidance, and user-responsibility clauses. 1 5 9 13 15	Separate provider contract, copyrightability, third-party infringement, and commercial terms. Each needs its own check.
“India’s computer-generated-work clause settles generative-AI authorship.”	Read section 2(d)(vi) and section 17 in the official Act. The wording predates modern generative AI and does not itself resolve how a particular model interaction is treated. 3	Quote the statute accurately, identify the interpretive question, and avoid presenting a settled AI rule.

Before: “AI content belongs to the person who typed the prompt. It is safe to use commercially if the tool says so.”

After: “A provider may assign rights it has or disclaim ownership, but that does not settle local copyrightability or clear third-party rights. Review tool and plan terms, source licences, and output similarity; document human contribution and ask for advice where the stakes justify it.”

1.13 12. Conclusion

Safe reuse depends on more than a tool’s ownership sentence. A student should know where material came from, which licence applies, what the provider’s current contract says, and what human choices shaped the final work. The best capstone result is not a promise that every AI output is safe. It is a repeatable process that catches uncertainty before code or content is published.

1.14 References